Rela Charts

Level: Intermediate

Prerequisites: #1 – Basic Strategy

Intro

Some legendary investors (Jesse Livermore, Perter Lynch and others) used to focus mainly on buying leading stocks in leading sectors. That approach is still as valid as ever, or maybe even more valid today, as a winner-take-all effect is seen in many tech sectors.

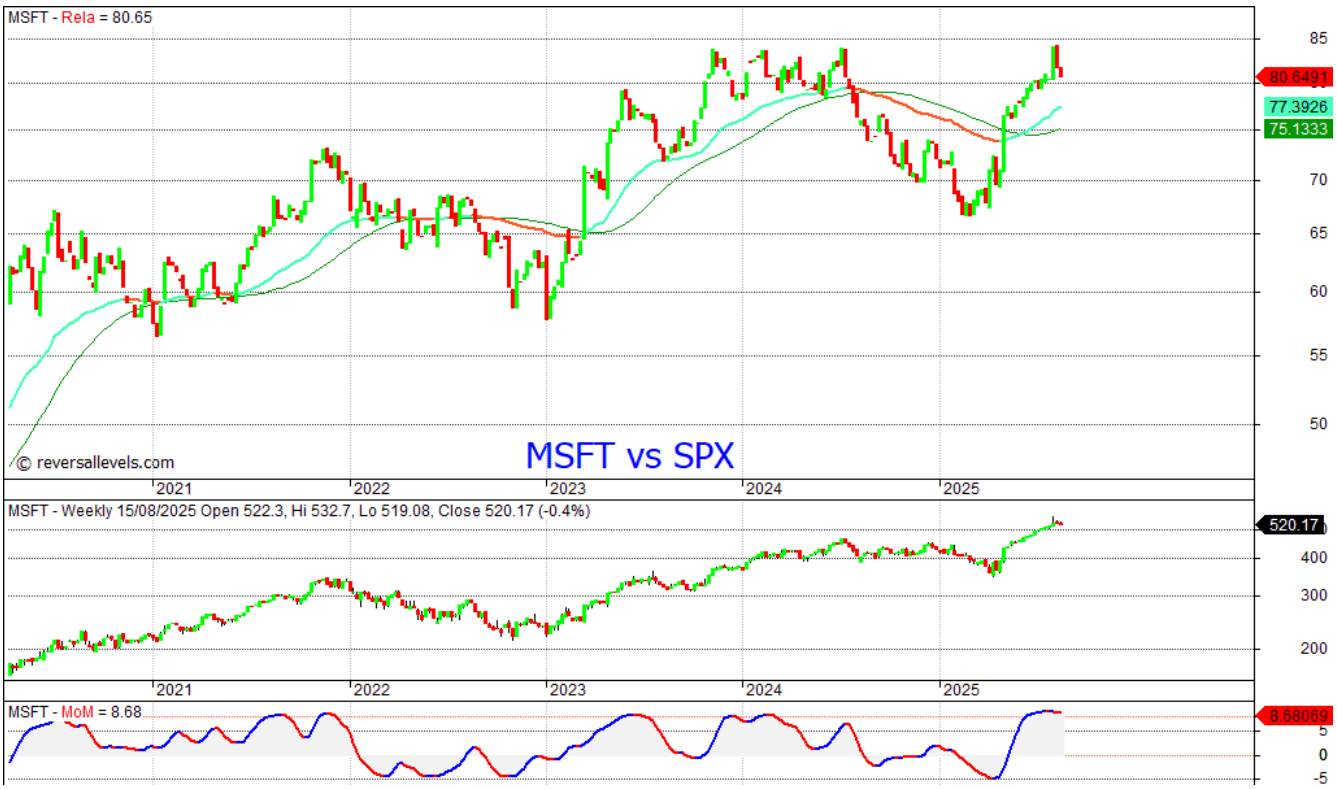
It's difficult, if not impossible, to replace the leading search engine, or the leading social network, or the leading AI chip maker... So, the leading stocks of the day tend to outperform the overall market for years and that's why we talk about the "Mag 7" stocks.

Our strategy PDF #2 about stock selection gives some broad ideas on how to select stocks for your watchlist. But some subscribers have asked for more ways to find the top tickers. While relative strength charts and calculations are nothing new, we have made our own version of that concept and that's what you can now find in the weekly relative charts ("Rela charts") for a broad range of stocks and ETF.

We also intend to include this info in the weekly reversal levels tables, and that will make it easy to sort and search stocks on a number of factors connected to out- or underperformance. More on that in a next version of this strategy file.

What the Rela charts show.

As main example I will use MSFT:



The main pane shows “Rela”, the relative performance of MSFT versus the S&P 500. When it is rising the giving stock is outperforming SPX. When it’s flat and sideways it’s a market perform. And when it is declining the stock is underperforming the index.

The lines you see in the upper pane are a special smoothing filter (not a simple moving average), which helps to see how strong the outperformance is at any giving time. During solid outperformance you will typically see the candles above the thick blue line, and that blue line above the thin green smoothed line. During underperformance the candles in the Rela chart are below the tick orange line, with that orange line below the thin green line. When the situation is more scrambled up, it is a more neutral or early transition stage.

You can negate the price shown on the main pane, but it’s not difficult to figure out the calculation method. We take the stock price multiplied by 1000 and divide that by the SPX. In this case, MSFT ended the week at $520.17 with the SPX at 6449.79, so Rela is: 520170/6449.79 = 80.65 in this example.

The bottom half of the chart shows a normal weekly chart for MSFT where we can check the actual price performance. And then there is the weekly MoM indicator right below it.

In the MSFT Rela chart example we see that outperformance has alternated with underperformance in recent years.

Using Rela charts info

The first use is as a way to put and keep more outperforming stocks in our watchlist, by replacing stocks that stopped outperforming. We don't have to do this every week, but every couple of months we can remove some laggards and swap them for stocks that have waken up recently. This is like a farmer culling the herd from time to time by removing some weaker animals.

We can also keep an eye on the sectors for that purpose. A lot of sector ETF are in the coverage. If a given sector starts doing well we will see it in the Rela chart for that ETF. Then we can look at individual stocks in that sector as a second step in our stock selection workflow.

The goal is to be mostly in outperforming stocks in outperforming sectors. Of course that will always be an imperfect art.

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Besides keeping our watchlist full with quality, we can use the Rela charts in some other interesting ways too:

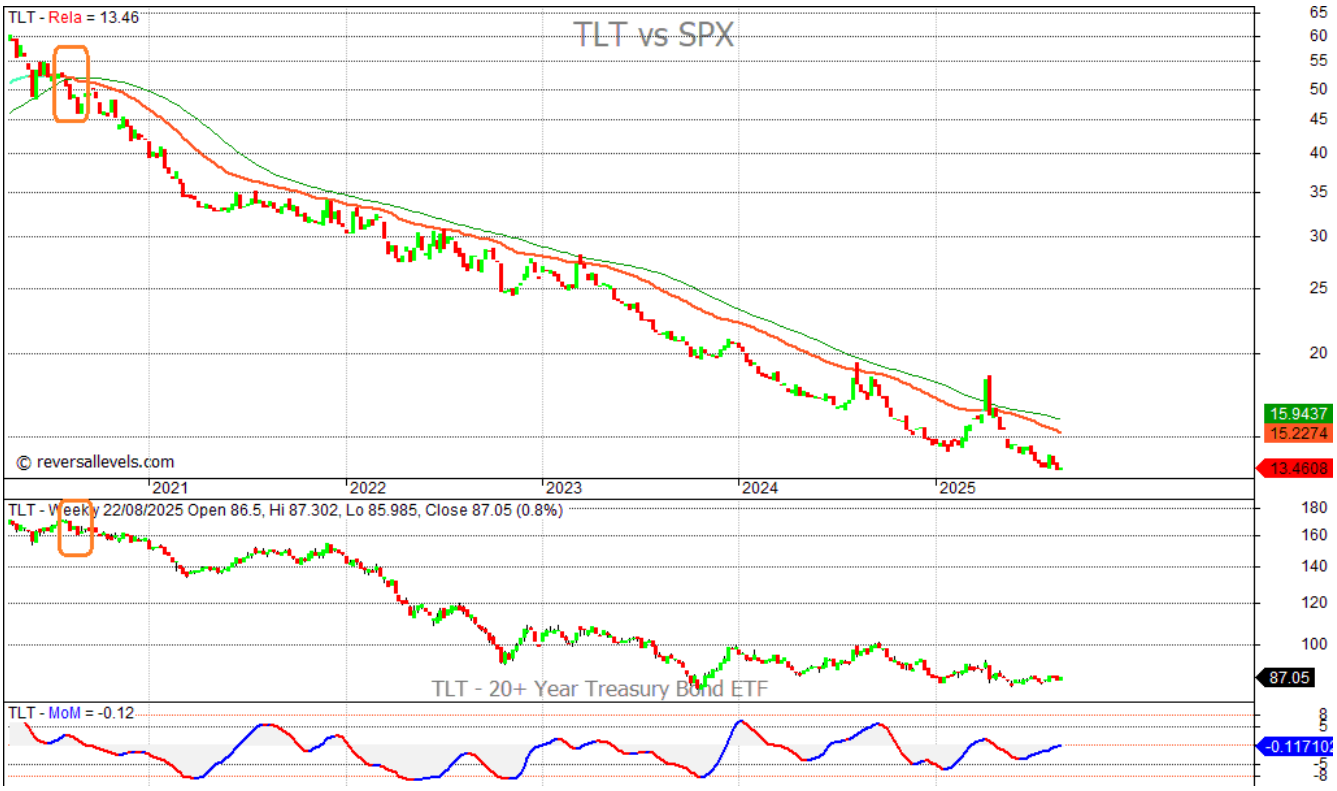
1 - A stock with a persistently rising Rela is a good candidate for a longer term trade. A weak Rela chart suggests it's better to take the quick gain (if any) if we have any position in that stock.

2 - If we use the Switch strategy (see strategy PDF #3), then it is more likely to succeed in a stock with rising Rela. Of course, we also need to remember that outperformance does not continue forever and can stop abruptly. Names like Walmart, GE, Xerox and Texas Instruments were all considered strong market leaders at some time.

3 - spBuy signals in stocks with strong Rela are opportunities to get into strong stocks at a discount.

4 - Sell signal or pP signals in stocks with weak Rela charts are potential candidates for taking a short position.

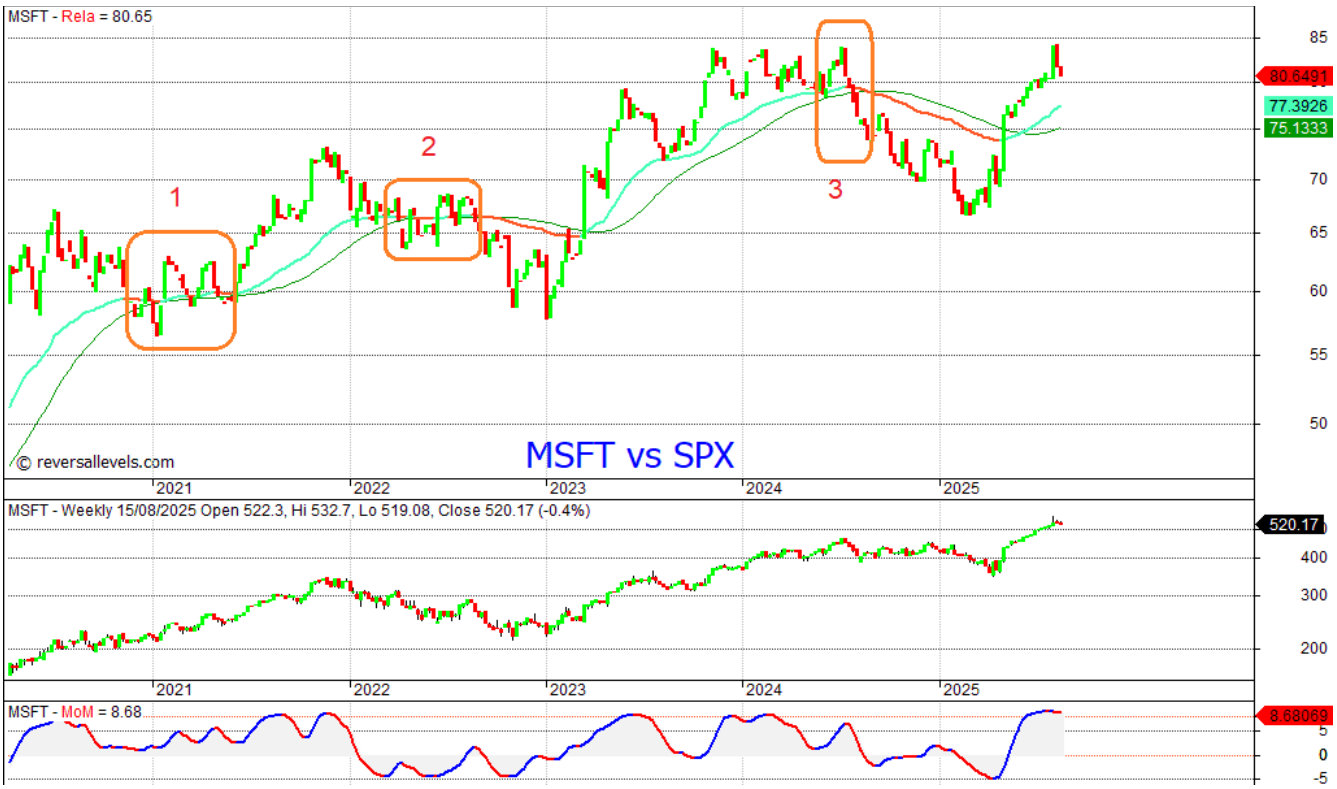
5 - For those who are into hedging, try to be long stocks or sectors with strong Rela and go short the weaklings. For example, this is the Rela chart for Bonds TLT:



We can see the transition in 2020, when the orange line dropped below the thin green line. That started 5 years of underperformance, which was rarely challenged for more than a week and is still ongoing. If you went long SPY and short TLT you keep raking in the profits. Sooner or later there will be a transition again, and then this hedge comes to an end.

Transition periods can be more tricky to judge. When the two smoothing lines converge and go flat, with the candles printing on both sides, the situation becomes unclear. At that point the stocks is an average market perform. This can continue for months until things fall back to one side again.

Still using MSFT as our example, there are 3 typical situations:



In case 1 outperformance continued after 5 about months of sideways Rela.

In case 2 a brief period of mild underperformance followed the transition period.

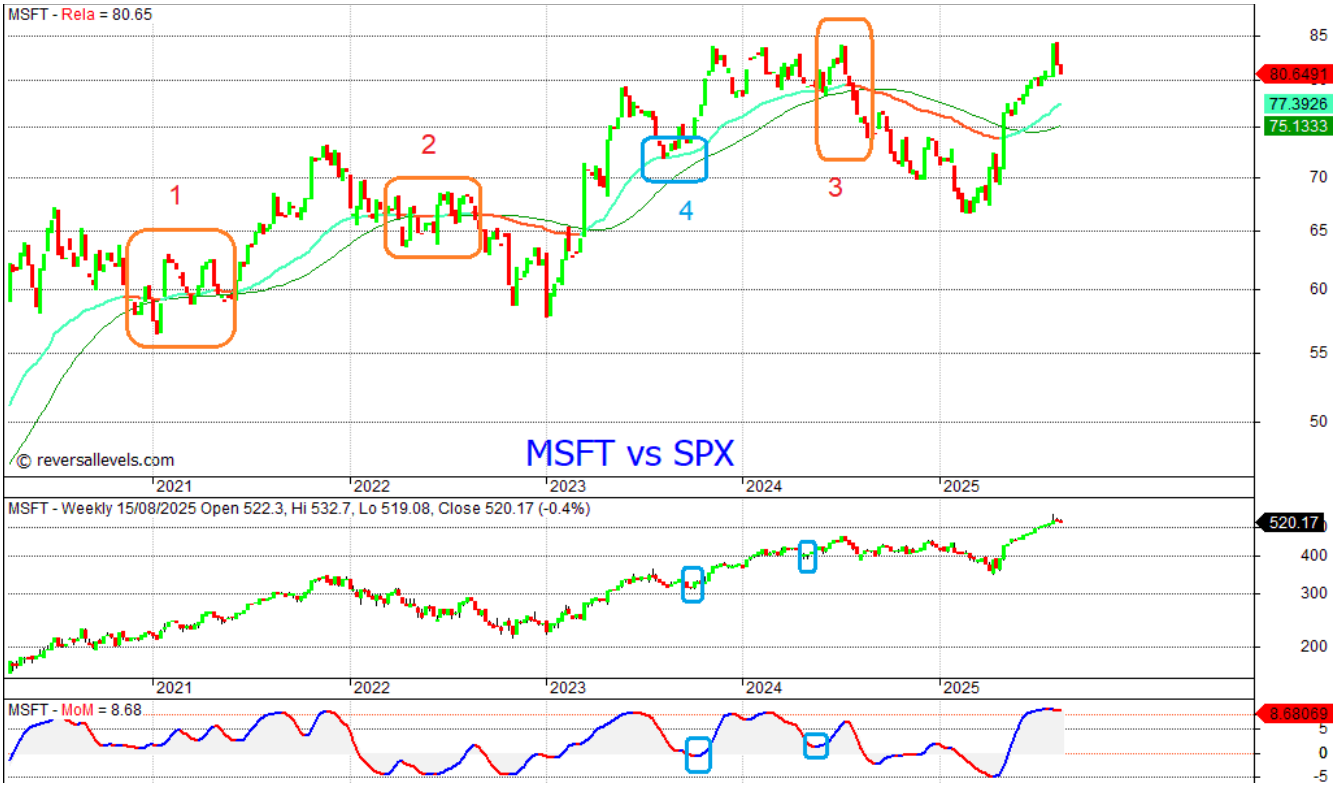
The weekly MoM indicator at the bottom of the chart is often useful to assess in which direction things are leaning.

In case 3 there was almost no sideways transition period and the stock went from outperformance to underperformance very quickly. Note that in this case there was a big bearish divergence in the MoM indicator in mid 2024.

Early 2023 and spring of 2025 show very fast transitions.

One might think that we need to spot outperformance as early as possible to ride the entire move. But that's not necessarily the case. There are also opportunities to join a good move several months after outperformance has started. That's what we use the MoM indicator for.

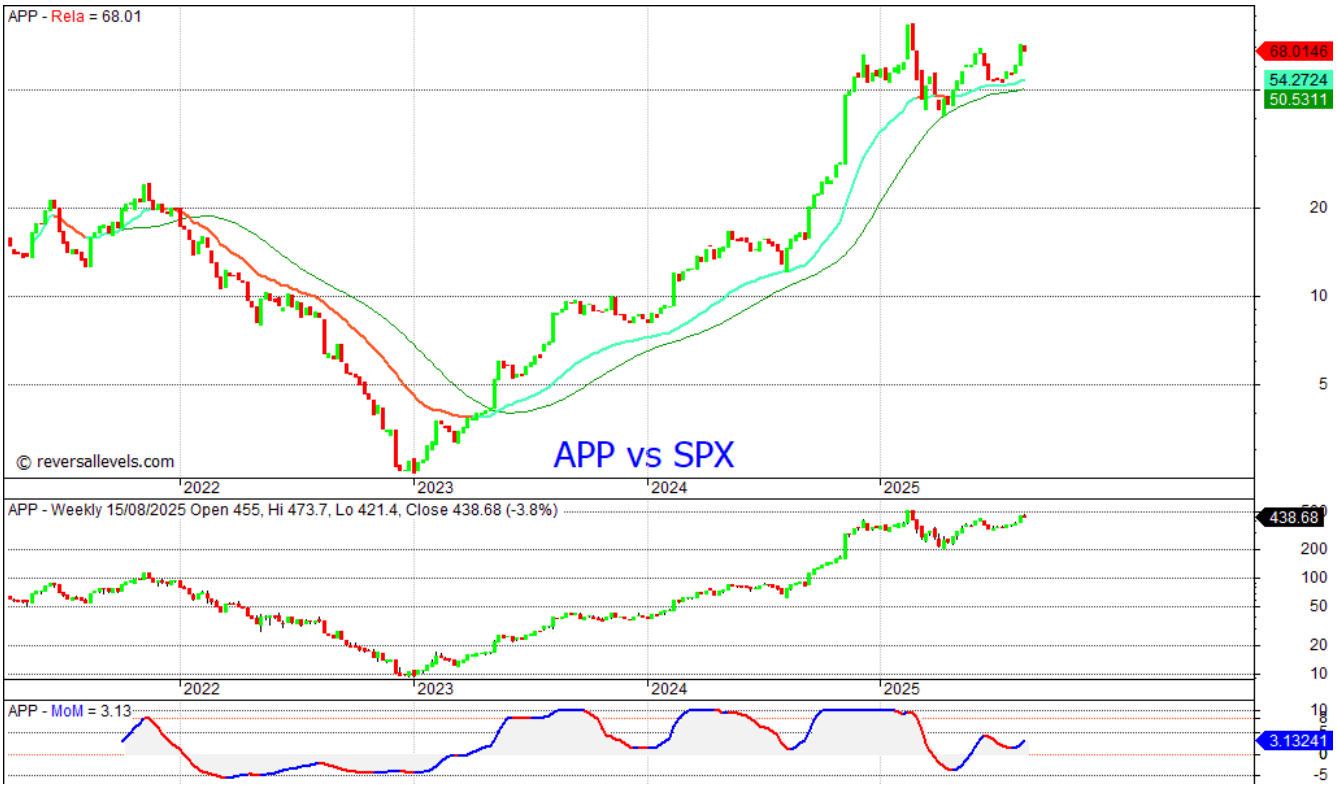
MSFT as an example:



Marked in blue we see case 4 in mid 2023, where the smoothed Rela line was briefly challenged, but didn't stop rising. At that time the weekly MoM indicator for MSFT was taking a dip towards the zero line. When MoM turned back up you had a great (re)entry point. In the reversal levels files for October 2023 you will see MSFT also had a Buy signal that week. That's how Rela charts can be combined with the reversal levels entries and exits.

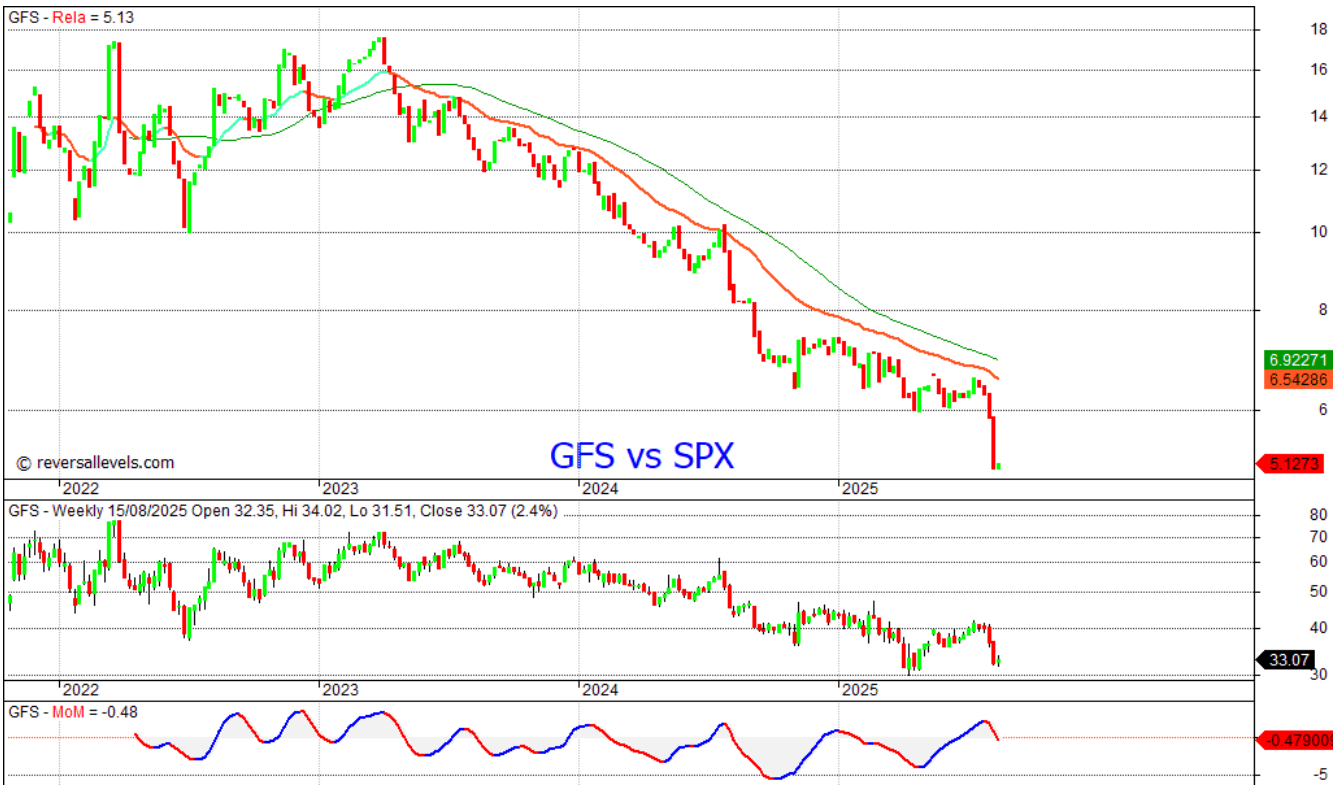
So, Buy signals can and do happen in the midst of a rising Rela chart, and that's where we can still pick up that leading stock that we didn't buy on the previous opportunity. A similar chance came in the spring of 2024. That led to a shorter rally, but even at that point you could still pick up a quick 10%.

Some Rela charts will show almost permanent out or under performance. Let's have a look at some examples:



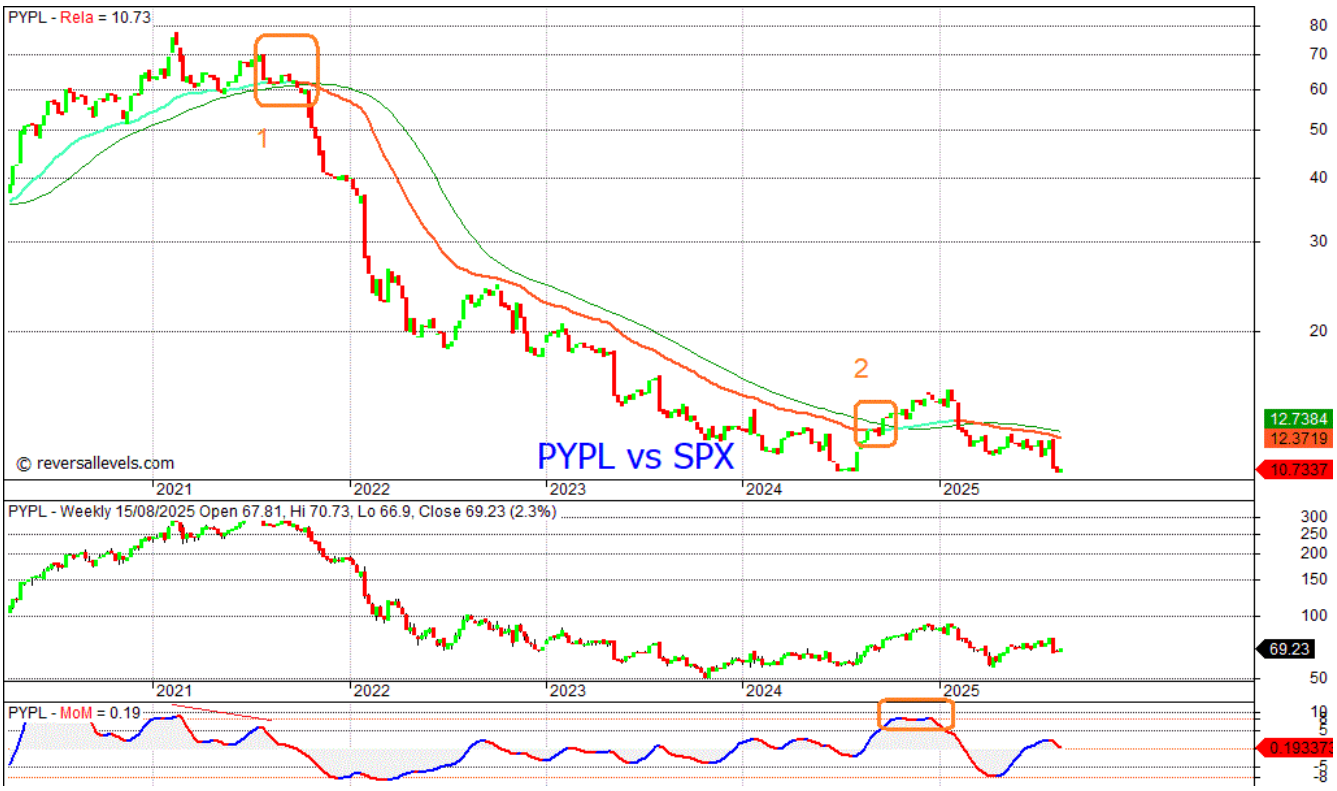
APP has been very strong since early 2023. Late 2023 and mid 2024 gave two MoM lows with Rela staying strong. That were the re-entry chances in an established strong uptrend. The MoM low in spring 2025 came with more challenge in the Rela chart, but that was only a few candles and the outperformance still continues. If the thick smoothed line crosses below the thin green line, as it will some day, then it becomes a new situation.

GFS is the next example:



This is the typical picture seen in many lagging stocks or sectors. Just a constantly weakening image, with the thick smoothed orange line never getting above thin green line. Rally attempts since early 2023 have always pushed Rela back up to that orange line, but rarely above it for more than a bar. Weekly MoM made weak peaks near the zero line before each next downswing started. We can use that for selling short stocks. I would not consider shorting stocks with a strong Rela chart, that's like trying to swim against the current.

As a last example we have PYPL:



Here in 2021 we see a textbook transition. Outperformance disappeared gradually and both lines converged. For a number of weeks the candles printed right on the lines. Note there was a wide bearish divergence in MoM at the time, and MoM was dropping below zero.

Subsequently this stock was very weak for years, but in late 2024 there was a sustained move above both smoothed lines and that gave a brief period of outperformance.

Outperformance that lasts year is often decided on the next pullback after the initial rally. That pullback happened in early 2025 here. It couldn't hold the lines and went right back to its lagging ways. Keep this in mind.

That's it for now. More to come.

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